

POL-001

Retail Mortgage Credit & Affordability Policy

Retail Banking | KBC Bank NV

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About this policy: This policy explains KBC's commitment to responsible mortgage lending — how we assess affordability, apply stress tests, govern AI tools, and ensure customers make informed decisions about one of the biggest financial commitments of their lives.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction — What This Policy Is About

At KBC, we believe that a mortgage is one of the most significant financial commitments a person will ever make. That commitment deserves to be made with full information, careful assessment, and the confidence that KBC has genuinely considered whether the product is right for the customer's life. This policy sets out how we do that — consistently, fairly, and in a way every employee can understand and apply.

This is not a technical manual. It is a statement of how KBC expects its people to behave when helping customers take on mortgage debt. Whether you are a branch adviser, a digital product manager, a credit analyst, or a member of the KATE AI team, the principles in this policy apply to you.

2. Who This Policy Applies To

This policy applies to every KBC employee who plays any part in the mortgage journey — from first customer contact through to loan origination, underwriting, ongoing servicing, and account closure. It also applies to third-party brokers and intermediaries who distribute KBC mortgage products. If you are unsure whether it applies to your role, assume it does and ask your manager.

3. Our Commitment to Responsible Lending

KBC is committed to lending responsibly. This means we only offer mortgages to customers when we have genuinely assessed that they can afford the repayments — not just today, but over the life of the loan and through periods of financial stress. We do not exist to maximise the number of mortgages we write. We exist to help customers build financial security in a sustainable way.

Responsible lending at KBC means three things in practice:

- **We look at the whole picture.** We do not make lending decisions based on a single data point. We look at a customer's income, their existing financial commitments, their likely future circumstances, and whether the product genuinely fits their needs.
- **We are honest with customers.** If a customer cannot afford a product, we tell them clearly and helpfully, and we explain what their options are. We never push a customer toward a product that is not right for them.
- **We protect customers from over-indebtedness.** Taking on more debt than you can manage is a source of real hardship. KBC's job is to prevent that, not to enable it.

4. How We Assess Whether a Customer Can Afford a Mortgage

4.1 Verifying Income

Before offering any mortgage, we must verify the customer's income from reliable, independent sources. Payslips, tax returns, and bank statements are the primary tools. For self-employed customers, we look at two years of audited accounts to understand their average earnings. We do not take the customer's word alone — verification is a protection for both the customer and KBC.

When income includes variable elements like bonuses or overtime, we take a conservative view and only count a portion of those earnings. This guards against customers over-extending based on exceptional income that may not continue.

4.2 The Debt-Service-to-Income Ratio

The debt-service-to-income (DSTI) ratio is the proportion of a customer's monthly take-home income that goes toward servicing all debt — including the new mortgage. KBC applies a maximum DSTI of 35% for standard applications. This means that after paying all debts, the customer retains at least 65% of their monthly income for living costs.

Applications where the DSTI falls between 35% and 40% are not automatically declined, but they require a higher level of scrutiny. These cases are reviewed by the credit committee, who look for compensating factors: a large deposit, a clean credit history, or demonstrably stable employment. The credit committee's role is not to find reasons to say yes — it is to ensure we have genuinely weighed the risks.

4.3 Loan-to-Value Limits

The loan-to-value (LTV) ratio is the size of the mortgage as a proportion of the property's value. KBC's standard LTV maximum is 80%, meaning we typically require a deposit of at least 20%. First-time buyers may borrow up to 90% with appropriate mortgage protection insurance. Buy-to-let investors are held to a maximum of 70%, reflecting the additional risk in investment property lending.

5. Stress Testing — Planning for Higher Interest Rates

Interest rates change over time. A mortgage that is affordable today at a low interest rate could become very difficult to manage if rates rise significantly. KBC's stress testing requirement exists to protect customers from this risk before they commit.

For all new variable-rate mortgages, we must assess whether the customer could still afford the monthly repayments if the interest rate were 3 percentage points higher than the current rate. This is not a hypothetical academic exercise — it reflects the kind of rate movement that has occurred in real markets in recent years.

If a customer's finances would be under serious strain under that stress scenario, we must either decline the application or ensure the customer has the reserves and financial resilience to manage. We never allow a customer to proceed with a variable-rate mortgage on the implicit assumption that rates will not rise.

Why this matters

Imagine a customer taking a variable-rate mortgage at 3.5% interest. Our stress test asks: could they manage repayments at 6.5%? If the answer is yes, we can lend with confidence. If the answer is no, we need to have a frank conversation with the customer about their options — a fixed-rate product, a smaller loan, or building a larger deposit first.

6. How Our AI Tools Support Mortgage Decisions

KBC uses AI-powered tools, including features within the KATE digital assistant, to support mortgage affordability assessments and product recommendations. These tools are designed to help our people do their jobs better — they are not a replacement for human judgment.

AI tools at KBC are held to the same standard as any other part of our mortgage process. They must be fair, consistent, and explainable. They must not produce biased outputs that disadvantage customers on the basis of gender, age, nationality, or postcode. They are regularly tested and monitored. If an AI tool generates a

recommendation, the customer has the right to ask for an explanation in plain language.

Employees must never override their own judgment simply because an AI tool has produced a particular output. The AI is an input to your decision, not the decision-maker. If you believe an AI tool is producing outputs that seem unfair or inconsistent, you have a responsibility to raise this with your manager or the Compliance team.

7. What Customers Are Entitled to Know

Transparency is central to KBC's relationship with its customers. In the mortgage process, this means customers must always receive clear, plain-language information about the total cost of the mortgage, the APR, the assumptions underlying any stress test, and — where AI tools have played a role — the key factors considered. Customers always have the right to request a human review. We never obscure information or present it in a way designed to prevent customers from making informed comparisons.

8. When to Ask for Help

Not every mortgage situation is straightforward. If you encounter any of the following, escalate to your line manager or Compliance Advisory rather than making the decision yourself:

- A customer whose income is difficult to verify or whose circumstances are unusual.
- A case where the DSTI exceeds 35% and you are not certain the compensating factors are sufficient.
- A customer who appears to be in financial difficulty or who has disclosed vulnerability.
- A case where an AI tool has produced an outcome that seems wrong.
- Any situation where you feel pressure — from any source — to approve a mortgage you would not otherwise approve.

Escalation is not a sign of weakness. It is a sign of professional integrity.

9. Your Responsibilities

- Always verify income from reliable sources. Do not accept undocumented claims.
- Always apply DSTI and LTV limits as set out in this policy.
- Always complete stress testing for variable-rate applications.
- Never advise a customer to take a product you do not believe is right for them.
- Always document your decisions clearly.
- If you use AI tools, understand what they are telling you and retain your own judgment.

10. Consequences of Non-Compliance

Failing to follow this policy can cause real harm to customers and significant reputational and financial damage to KBC. Employees who breach this policy may face disciplinary action up to and including dismissal. In serious cases, KBC may be required to report the matter to external authorities. If you make a mistake, acknowledge it and escalate promptly — concealment turns a mistake into a serious compliance issue.

11. Getting Help

- **Your line manager** — for day-to-day guidance.
- **KBC Compliance Advisory** — for policy interpretation.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

12. Policy Review

This policy is reviewed annually. The current version is always available on the KBC intranet.